

34-3c Automatic Stabilizers

All economists—both advocates and critics of stabilization policy—agree that the lags in implementation reduce the efficacy of policy as a tool for short-run stabilization. The economy would be more stable, therefore, if policymakers could find a way to avoid some of these lags. In fact, they have.

Automatic stabilizers (changes in fiscal policy that stimulate aggregate demand when the economy goes into a recession without policymakers having to take any deliberate action)

are changes in fiscal policy that stimulate aggregate demand when the economy goes into a recession but that occur without policymakers having to take any deliberate action.

The most important automatic stabilizer is the tax system. When the economy goes into a recession, the amount of taxes collected by the government falls automatically because almost all taxes are closely tied to economic activity. The personal income tax depends on households' incomes, the payroll tax depends on workers' earnings, and the corporate income tax depends on firms' profits. Because incomes, earnings, and profits all fall in a recession, the government's tax revenue falls as well. This automatic tax cut stimulates aggregate demand and, thereby, reduces the magnitude of economic fluctuations.

Some government spending also acts as an automatic stabilizer. In particular, when the economy goes into a recession and workers are laid off, more people become eligible for unemployment insurance benefits, welfare benefits, and other forms of income support. This automatic increase in government spending stimulates aggregate demand at exactly the time when aggregate demand is insufficient to maintain full employment. Indeed, when the unemployment insurance system was first enacted in the 1930s, economists who advocated this policy did so in part because they recognized its power as an automatic stabilizer.

The automatic stabilizers in the U.S. economy are not sufficiently strong to prevent recessions completely. Nonetheless, without these automatic stabilizers, output and employment would probably be more volatile than they are. For this reason, many economists oppose a constitutional amendment that would require the federal government to always run a balanced budget, as some politicians have proposed. When the economy goes into a recession, taxes fall, government spending rises, and the government's budget moves toward deficit. If the government faced a strict balanced-budget rule, it would be forced to look for ways to raise taxes or cut spending in a recession. In other words, a strict balanced-budget rule would eliminate the automatic stabilizers inherent in our current system of taxes and government spending.

QuickQuiz

7. Suppose a wave of negative “animal spirits” overruns the economy, and people become pessimistic about the future. To stabilize aggregate demand, the Fed could ____ its target for the federal funds rate or Congress could ____ taxes.
- a. increase; increase
 - b. increase; decrease
 - c. decrease; increase
 - d. decrease; decrease
8. Monetary policy affects the economy with a lag mainly because it takes a long time
- a. for central banks to make policy changes.
 - b. to change the money supply after a policy decision has been made.
 - c. for a change in the money supply to affect interest rates.
 - d. for a change in interest rates to affect investment spending.
9. Which of the following is an example of an automatic stabilizer? When the economy goes into a recession,
- a. more people become eligible for unemployment insurance benefits.
 - b. stock prices decline, particularly for firms in cyclical industries.
 - c. Congress begins hearings about a possible stimulus package.
 - d. the Fed changes its target for the federal funds rate.